Red-Flag Triage Board

Property: _____ **Date:** _____

Part F: Decide and structure.

Takes in: findings from every tool

Hands to: AS-07 (structure the offer), AS-01 (the go or walk call)

Red flags are not reasons to run. They are negotiating inventory. This board turns scary findings into three numbers: a price cut, a holdback, and a walk-trigger count.

1. The three dials

Score every flag on three dials, not one. The old 1 to 3 times 1 to 3 math lied: a moderate-severity, expensive flag scored KILL even though it could be priced in, and a severe-but-cheap flag landed in renegotiate.

- Severity: High (can end the deal or cost six figures), Moderate (priced in), Low (monitor, carry into ownership).
- Cost: write the dollar band, not a 1 to 3 score. Set your three bands before you start: cosmetic, material, deal-sized. Fill each band with your own bid numbers as they arrive.
- Verifiability: can this be verified before EMD hardens? Yes or no. Nothing in between.

Rule: a high-severity flag that cannot be verified before EMD hardens defaults to KILL. High severity plus unverifiable equals walk, no debate.

2. The board

Flag	Sev	Cost band ($)	Verifiable before EMD?	Source	Evidence item	Deadline	Output
Pre-1976 homes on the lots							
Unpermitted submetering or RUBS							
Resident purchase rights / sale-notice laws							
Rent control or rent rules							
Unpermitted expansion							
Insurance non-renewal / claims history							
Active code enforcement							
Security deposits not transferred							
Unpaid property taxes							

Nonconforming use: protection more often ends through discontinuance, damage, or expansion. Have your attorney and a municipal zoning letter define the actual trigger.

Tenant-related flags: write conduct and payment history only, never protected characteristics.

Front continues on page 2: custom flags, the three outputs, the upside list, the post-deal log.

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3. Your custom flags

Flag	Sev	Cost band ($)	Verifiable before EMD?	Source	Evidence item	Deadline	Output
Single point of failure vendor							

4. The three outputs

Price adjustment, evidence-backed ($): _____ **Holdback ($):** _____ **Walk triggers fired (count):** _____

The price-adjustment column sums to one ask. Every dollar carries a bid or an expert finding. The renegotiation rule: bring the big-ticket items backed by evidence, never 30 pesky issues.

5. The upside list

Upside	Why it is upside	Verified how
Below-market rents with a clear raise path		

The seller gets no credit for upside. Price the park as it runs today, not as it could run.

6. Post-deal log: which flags were real

Flag	Called it (price / holdback / walk / monitor)	What it actually cost	Lesson

Fill this in after every deal, bought or walked. It is your private benchmark for the next one.

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Worked example: Maple Bend Estates (fictional)

Fictional park, fictional buyer, real arithmetic. Seeds: 48 lots, ask $1,650,000, 12-month deposits $189,000, seller expenses $71,000, claimed 44 occupied at $410, walk found 41 occupied plus 3 derelict units the seller counted as occupied.

Flag	Dials	Dollars	Output
3 derelict units counted as occupied	High severity. Verified (walk count, deposits). Source: AS-15, AS-04.	Phantom rent: 3 x 410 x 12 = $14,760/yr. Price effect at the buyer's 8% target cap: 14,760 / 0.08 = $184,500.	Price adjustment: $184,500
Well and clustered septic, permits unverified	High severity. Not yet verifiable (engineer not booked). Defaults to KILL until verified. Source: AS-13.	Holdback $40,000 pending engineer scope plus the regulator call.	Holdback: $40,000
9 park-owned homes among 41 occupied	Moderate severity. Verifiable.	$0 today. Carry into ownership with a maintenance reserve.	Monitor

The three outputs: price adjustment $184,500, holdback $40,000, walk triggers 0. The $14,760 sits inside the $27,480 deposit gap (27,480 - 14,760 = $12,720 of collection loss, treated as priced-in vacancy, not a flag). It is one line in the ask, never a second one.

The well flag armed the walk trigger. The buyer booked the engineer on day 3 with results due before EMD hardens, converting a default KILL into a $40,000 holdback. The rule did its job: the flag forced a verification plan, not a feeling.

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The Doctrine

The belief this board shatters is that red flags are reasons not to buy. They are negotiating inventory. There is no clean park. Every small park has deferred maintenance, undocumented systems, and a seller with a story. The question is never whether the dirt is perfect. The question is whether the dirt is priced. A flag you can price is a discount. A flag you can hold back is a shield. A flag you cannot verify before your money goes hard is a walk. The one rule: every flag is priced, parked, or walked. None are worried about. The rite of passage is the first renegotiation where you hold three bid-backed items, drop the other 27, and the seller takes you seriously.

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